

Undertaking to the Australian Competition and Consumer Commission

Given under section 87B of the *Competition and Consumer Act 2010* (Cth) by Sigma Healthcare Limited (ACN 088 417 403)

Contents

1. Person giving the Undertaking	1
2. Background.....	1
3. Commencement of this Undertaking.....	2
4. Commitment to Remain a CSO Wholesaler	3
5. No restraint on termination	3
6. Non-retention of Confidential Data for exiting customers	5
7. Information to staff, Franchisees, Buying Group Customers and Wholesale Customers.....	7
8. Independent Audit	8
9. Notification of key dates and ACCC requests for information	12
10. Disclosure of this Undertaking	13
11. Obligation to procure	13
12. Cessation of Ongoing Obligations	14
13. No Derogation	14
14. Change of Control	14
15. Costs	14
16. Notices	15
17. Defined terms and interpretation	16
Schedule 1 – Dictionary and interpretation	18
Schedule 2 – Proposed Independent Auditor Appointment Form	24
Schedule 3 – Dispute Resolution Process	26

1. Person giving the Undertaking

- 1.1 This Undertaking is given to the Australian Competition and Consumer Commission (**ACCC**) by Sigma Healthcare Limited (ACN 088 417 403) on behalf of itself and its subsidiaries (together referred to as **Sigma** in this Undertaking).

2. Background

The parties to the proposed acquisition

- 2.1 Sigma is a publicly listed Australian pharmaceutical wholesaler and franchisor of retail pharmacies under the brands Amcal, Discount Drug Store, PharmaSave and Guardian.
- 2.2 CW Group Holdings Limited (**Chemist Warehouse**) is an unlisted Australian company. It is a franchisor of retail pharmacies under the brands Chemist Warehouse and MyChemist. Chemist Warehouse also operates as a wholesaler to its franchisees.

The Proposed Acquisition

- 2.3 On 11 December 2023, Sigma and Chemist Warehouse entered into a Merger Implementation Agreement, pursuant to which Sigma will acquire all the shares in Chemist Warehouse by way of a scheme of arrangement in exchange for a combination of Sigma shares and \$700 million cash consideration.

The ACCC's review

- 2.4 On 8 March 2024, the ACCC commenced its public review of the Proposed Acquisition.
- 2.5 The ACCC undertook market inquiries and considered information provided by the parties to the Proposed Acquisition, industry participants and others.
- 2.6 The purpose of the ACCC's inquiries was to assess whether the Proposed Acquisition could have the effect, or be likely to have the effect, of substantially lessening competition in any market in Australia in contravention of section 50 of the Act.
- 2.7 The ACCC investigated a number of potential competition issues associated with the proposed acquisition, including:
- (a) Potential structural market change which may raise barriers to entry and expansion to pharmacy retailing and/or wholesaling
 - (b) A potential reduction in competition in pharmacy retailing
 - (c) A potential foreclosure of retail pharmacies
 - (d) The merged firm's access to Sigma-supplied independent pharmacies' data potentially reducing retail pharmacy competition.
- 2.8 Sigma does not consider that the Proposed Acquisition would have the effect, or be likely to have the effect, of substantially lessening competition in any relevant market. However, to address the ACCC's competition concerns, Sigma has offered this Undertaking pursuant to section 87B of the Act.

The ACCC's competition concerns

- 2.9 The ACCC was concerned that, in the absence of the Undertaking, the Proposed Acquisition may have the effect, or be likely to have the effect of, substantially lessening competition in pharmacy retailing in Australia.
- 2.10 The ACCC was concerned that, absent this Undertaking, the merged entity may have the ability and incentive to worsen terms to non-Chemist Warehouse pharmacies that were in competition with Chemist Warehouse banner pharmacies, leading to a likely substantial lessening of competition. The ability to lessen competition in this way could be mitigated if non-Chemist Warehouse pharmacies were able to easily and at low-cost switch to a rival supplier of franchise services and wholesale products (e.g. API or EBOS). However, the costs of any such switching would be high for franchisees and other pharmacies that were tied to long-term contractual commitments to continue to acquire franchise services and/or products from Sigma in a future with the proposed transaction.
- 2.11 The ACCC was also concerned that the Proposed Acquisition, in the absence of the Undertaking, may enable the merged entity to access and use commercially sensitive data of Sigma franchisees and wholesale customers in a way that damages retail pharmacy competition.
- 2.12 The ACCC's third concern was that, absent the Undertaking, Sigma may choose to cease to be a CSO wholesaler and only supply pharmacy products to its franchisees. This would reduce the number of available CSO wholesale options for pharmacies and would be likely to lessen competition between retail pharmacies.

The Undertaking remedy

- 2.13 The objective of this Undertaking is to address the ACCC's concerns as set out above, by requiring Sigma to commit:
- (a) to ensure that Sigma franchisees and wholesale customers can readily terminate their agreements with Sigma, subject to specific exclusions as set out in clause 5;
 - (b) to implement data protection measures and to delete confidential information when Sigma franchisees and wholesale customers elect to terminate their contracts with Sigma;
 - (c) to remain a participating pharmaceutical wholesaler in the Commonwealth Government's Community Service Obligation (**CSO**) arrangements; and
 - (d) to provide for the effective oversight of Sigma's compliance with this Undertaking.

3. Commencement of this Undertaking

- 3.1 This Undertaking comes into effect when:
- (a) this Undertaking is executed by Sigma; and
 - (b) this Undertaking so executed is accepted by the ACCC,
- (the **Commencement Date**).

4. Commitment to Remain a CSO Wholesaler

- 4.1 For a period of five (5) years from the Control Date, Sigma will participate in the CSO Funding Pool Arrangements.
- 4.2 The obligation in clause 4.1 requires that Sigma:
- (a) remains a CSO Distributor; and
 - (b) is party to and will not terminate Sigma's CSO Deed.
- 4.3 In the event that Sigma's CSO Deed is amended or replaced:
- (a) Sigma must notify the ACCC and the Approved Independent Auditor in writing within one (1) Business Day; and
 - (b) Sigma must provide the ACCC and the Approved Independent Auditor with a copy of the relevant amendment or replacement Deed within fifteen (15) Business Days.
- 4.4 Within 60 days of the end of each financial year, Sigma must provide to the ACCC and the Approved Independent Auditor, in respect of the prior financial year, a statement signed by a duly authorised officer stating that, to the best of the duly authorised officer's knowledge and belief, Sigma has complied with its obligations under clause 4 of this Undertaking.
- 4.5 If this Undertaking commences or expires, is withdrawn, terminated, or revoked during a financial year, the relevant compliance certification from Sigma need only cover the part of the financial year in respect of which this Undertaking was in operation.

5. No restraint on termination

No Restraint on Termination

- 5.1 For a period of three (3) years from the Control Date, Sigma must not prevent or in any way hinder an Existing Franchisee, an Existing Buying Group Customer, or an Existing Wholesale Customer who signed or agreed to their arrangement prior to 1 July 2024 ('**Existing Franchisee**,' '**Existing Buying Group Customer**' or '**Existing Wholesale Customer**' as appropriate) from terminating:
- (a) their Franchise Agreement;
 - (b) their Supply Agreement; and/or
 - (c) any other agreement or arrangement that the Existing Franchisee, Existing Buying Group Customer or Existing Wholesale Customer may have with Sigma (**other agreement**).
- 5.2 Notwithstanding clause 5.1, Sigma may require Existing Franchisees, Existing Buying Group Customers and Existing Wholesale Customers who elect to terminate their Franchise Agreement, Supply Agreement or other agreement within three (3) years from the Control Date to:
- (a) provide two months' notice before termination will take effect (unless their Franchise Agreement, Supply Agreement or other agreement provides for a shorter notice period, in which case that shorter notice period will apply); and

- (b) to settle any Outstanding Monies to Sigma prior to the Termination Date, excluding reimbursement of Sigma's Contributions as provided for in clause 5.4 below.
- 5.3 For the avoidance of doubt, an Existing Franchisee, Existing Buying Group Customer or an Existing Wholesale Customer may elect to terminate their Franchise Agreement, Supply Agreement or other agreement in accordance with clause 5.1 if the notice provided under clause 5.2(a) is received by Sigma within three (3) years from the Control Date, even if the Termination Date occurs after three (3) years from the Control Date.

No Reimbursement of Sigma's Contributions

- 5.4 Subject to clause 5.2 above, where an Existing Franchisee, Existing Buying Group Customer or Existing Wholesale Customer elects to terminate their Franchise Agreement, Supply Agreement or other agreement within three (3) years from the Control Date, Sigma must not require the Existing Franchisee, Existing Buying Group Customer or Existing Wholesale Customer to reimburse Sigma for any Contributions that have been paid by Sigma, to the Existing Franchisee, Existing Buying Group Customer or Existing Wholesale Customer prior to the Termination Date.
- 5.5 For the avoidance of doubt, and subject to clause 5.2 above, when an Existing Franchisee, Existing Buying Group Customer or Existing Wholesale Group Customer elects to terminate its agreement within three (3) years of the Control Date, it shall not be liable for any future contributions or fees that would otherwise be owed to Sigma under the terminated agreement, including but not limited to any Franchise Agreement, Supply Agreement or other agreement.
- 5.6 For the avoidance of doubt and subject to clause 5.2, Sigma is not required to reimburse or forgive an Existing Franchisee, Existing Buying Group Customer or Existing Wholesale Group Customer who elects to terminate its agreement within three (3) years of the Control Date in respect of any Outstanding Monies which are due and payable as at the Termination Date.

No enforcement of obligations to pay franchise fees or any other fees beyond termination

- 5.7 Subject to clause 5.2 above, where an Existing Franchisee elects to terminate their Franchise Agreement within three (3) years from the Control Date, Sigma must not enforce, or take any steps to enforce, any clause in their Franchise Agreement which requires the Existing Franchisee to pay annual franchise fees or any other fees from the Termination Date to the date of expiry of the initial term of the Franchise Agreement. For the avoidance of doubt, an Existing Franchisee must pay any franchise fees or other fees to Sigma incurred or accrued prior to the date Sigma receives a notice of termination under clause 5.2(a) but which remain outstanding as at the Termination Date.

No further services or contributions by Sigma beyond termination

- 5.8 For the avoidance of doubt, where an Existing Franchisee, Existing Buying Group Customer or Existing Wholesale Customer elects to terminate their Franchise Agreement, Supply Agreement or other agreement within three (3) years of the Control Date, from the Termination Date Sigma is no longer required to provide any services, rebates, discounts and contributions which have not been earned or paid to the Existing Franchisee, Existing Buying Group or Existing Wholesale Customer under the Franchise Agreement or Supply Agreement, as applicable, unless validly accrued and payable prior to the

Termination Date of the relevant Franchise Agreement, Supply Agreement or other agreement.

Disputes relating to termination under this clause

- 5.9 Any disputes between an Existing Franchisee, Existing Buying Group Customer or Existing Wholesale Customer and Sigma regarding termination of a Franchise Agreement, Supply Agreement or other agreement under this clause 5 may be raised by an Existing Franchisee, Existing Buying Group Customer or Wholesale Supply Customer (the **Dispute Applicant**) under the Dispute Resolution Process set out in Schedule 3.
- 5.10 Sigma must comply with the Dispute Resolution Process in Schedule 3 to determine disputes by any Dispute Applicant under clause 5.9.
- 5.11 Sigma must provide a copy of the Dispute Resolution Process in Schedule 3 to an Existing Franchisee, Existing Buying Group Customer or Existing Wholesale Supply Customer within 7 Business Days of receiving a notice of termination under clause 5.2 .

6. Non-retention of Confidential Data for exiting customers

- 6.1 If an Existing Franchisee, Existing Buying Group Customer or Existing Wholesale Customer gives a notice of termination within a period of three (3) years from the Control Date (**Exiting Customer**) then Sigma will ensure that within 2 Business Days from receipt of that Notice:
 - (a) No Sigma personnel (including Ring-fenced Personnel) other than the Approved Sigma Personnel may have access to the Exiting Customer's Confidential Information; and
 - (b) Sigma must not use the Exiting Customer's Confidential Information for any purpose, except as provided by clause 6.3 below.
- 6.2 Within 10 Business Days of the Termination Date, Sigma must:
 - (a) delete the Exiting Customer's Confidential Information related to the notice of termination that has been given and undertake not to use that Confidential Information except as provided by clause 6.3 below;
 - (b) subject to clause 6.5, de-identify any data relating to an Exiting Customer, such that the data is anonymised and no Sigma personnel (including Ring-fenced Personnel) other than the Approved Sigma Personnel may have access to any data that identifies the Exiting Customer (**De-identified Data**).
- 6.3 Notwithstanding clauses 6.1(b) and 6.2(a), Sigma may retain such Confidential Information:
 - (a) as is necessary for Sigma to effect the exit process for the Exiting Customer, including for any legal disputes;
 - (b) that Sigma is required by law to retain; or
 - (c) that is reasonably necessary for Sigma to meet its CSO or other legal reporting requirements, including in respect of any product safety recalls.

- 6.4 To the extent any Confidential Information is retained pursuant to clause 6.3, it must only be accessible by Approved Sigma Personnel.

Exiting customers that wish to retain a Sigma trading account

- 6.5 Without limiting clause 6.3, if an Exiting Customer elects to terminate its Franchise Agreement, Supply Agreement or other agreement within three (3) years of the Control Date but wishes to continue to purchase products from Sigma, and subject to the consent of the Exiting Customer, then, except for Sigma Ring-Fenced Personnel, Sigma shall be permitted to receive and access Confidential Information that is reasonably necessary to maintain an ongoing Sigma trading account.

Protection of Confidential Information

- 6.6 Sigma must establish and maintain effective information technology (**IT**) systems and security measures to safeguard the Exiting Customer's Confidential Information from unauthorised access, use, copying or disclosure in accordance with the terms of this Undertaking. This will include providing individual usernames, passwords and access keys to any Approved Sigma Personnel who have access to the Confidential Information of Exiting Customers.
- 6.7 From the Control Date, Sigma must appoint a Sigma Information Compliance Officer who is responsible on a day-to-day basis for:
- (a) monitoring Sigma's compliance with clauses 6.1 to 6.6; and
 - (b) maintaining a register of:
 - (i) Ring-Fenced Personnel; and
 - (ii) Approved Sigma Personnel.
- 6.8 For the purposes of this Undertaking, **Confidential Information** means information or data provided by an Exiting Customer to Sigma (whether such information is provided before the date of this Undertaking or subsequent to the date of this Undertaking) in relation to the business of that Exiting Customer:
- obtained from the Wholesale Customer, Buying Group Customer or Franchisee's Point of Sale (**PoS**) system;
 - individualised store promotional plans and pricing (excluding promotions proposed by Sigma for all franchisees, franchisees within specific franchise banner groups or particular customer groups or franchisees);
 - wholesale product orders and pricing;
 - order volumes and order history;
 - franchise agreement terms;
 - any information that could identify a Wholesale Customer, Buying Group Customer or Franchisee in connection with information which the customer reasonably considers to be commercially sensitive information;
 - credit or other information obtained to establish an account;
 - financial information including but not limited to: account payment history, payment terms/methods (including credit lines), credit history, and information relating to the value of a pharmacy (including purchase price, valuations, and loan amounts);
 - loyalty program data; and
 - terms relating to agreements with third-party manufacturers as they relate to the Exiting Customer.

- 6.9 For the avoidance of doubt, Confidential Information does not include:
- (a) information which has been aggregated with other information of a similar nature such that it is not competitively sensitive including because it relates to a sufficiently broad time period or cannot reasonably be, and is not reasonably capable of being, identified with, attributed to or used to identify any specific Exiting Customer;
 - (b) De-identified Data.
- 6.10 For the purposes of this Undertaking, **Ring-Fenced Personnel** are directors or employees of Sigma who:
- (a) hold a direct or indirect ownership interest in a Chemist Warehouse Franchise; or
 - (b) who have any involvement in the day-to-day management of Sigma's relationship with Chemist Warehouse franchisees.

7. Information to staff, Franchisees, Buying Group Customers and Wholesale Customers

- 7.1 Sigma will ensure that the existence of the Undertaking and its obligations are brought to the attention of all staff (excluding temporary contractors, and Sigma personnel whose place of employment is a specific distribution centre or warehouse and are not a manager) and that training is provided to those staff on an annual basis or within three (3) months of the commencement of their employment (whichever is earlier). This obligation commences one month from the Control Date.
- 7.2 The training for Sigma staff in accordance with clause 7.1 must cover the following areas at a minimum:
- (a) Sigma's obligations under the Undertaking;
 - (b) identification of Approved Sigma Personnel;
 - (c) identification of the Ring-Fenced Personnel;
 - (d) how Sigma manages its obligations, including Sigma's systems and processes in place to support compliance;
 - (e) the relevant team and/or employees' role in ensuring compliance with the Undertaking;
 - (f) consequences of non-compliance with the Undertaking;
 - (g) the role and identity of the Sigma Information Compliance Officer and processes for notifying of any potential breach; and
 - (h) who Sigma staff should contact if they have any questions or concerns.
- 7.3 Sigma will publish on its website in a prominent location and provide to all current Franchisees, Buying Group Customers and Wholesale Customers within one month of the Control Date:

- (a) a plain English summary of the obligations contained in clauses 5 and 6 (as applicable) of this Undertaking (which summary is to be provided to the ACCC for approval prior to distribution); and
- (b) a link to the ACCC's website publishing a copy of the Undertaking.

8. Independent Audit

Obligation to appoint an Approved Independent Auditor

- 8.1 Sigma must appoint and maintain an Approved Independent Auditor to audit and report upon Sigma's compliance with this Undertaking.

Process for approving a Proposed Independent Auditor

- 8.2 At least 15 Business Days before the Control Date, Sigma must provide the ACCC with a notice for a Proposed Independent Auditor in the form prescribed in Schedule 2 to this Undertaking (**Proposed Independent Auditor Notice**), including draft terms of appointment and a draft audit plan.
- 8.3 The Approved Independent Auditor is to be appointed for a term of three (3) years. Within 15 Business Days of the end of the Approved Independent Auditor's term, Sigma must provide the ACCC with a new Proposed Independent Auditor Notice. A person who is, or who has been, the Independent Auditor is eligible for reappointment as the Independent Auditor.
- 8.4 If clauses 8.17, 8.18 or 8.19 apply, Sigma must provide the ACCC with a Proposed Independent Auditor Notice within five Business Days after the relevant event occurs.
- 8.5 The ACCC shall have the discretion to approve or reject in writing the Proposed Independent Auditor identified in the Proposed Independent Auditor Notice.
- 8.6 Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Independent Auditor, the factors to which the ACCC may have regard include whether the:
- (a) person named in the Proposed Independent Auditor Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor including a current certificate to practice as an Australian legal practitioner and relevant dispute resolution experience;
 - (b) person named in the Proposed Independent Auditor Notice or identified by the ACCC is sufficiently independent of Sigma;
 - (c) draft terms of appointment and the draft audit plan are consistent with this Undertaking; and
 - (d) draft terms of appointment and the draft audit plan are otherwise acceptable to the ACCC.

Appointment of the Approved Independent Auditor

- 8.7 After receiving a written notice from the ACCC of its approval of a Proposed Independent Auditor, the draft terms of appointment and draft audit plan, Sigma must by the Control Date:

- (a) appoint the person approved by the ACCC as the Approved Independent Auditor on the Approved Terms of Appointment; and
- (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

Failure to appoint

8.8 If:

- (a) the Approved Independent Auditor has not been appointed by the Control Date;
- (b) the Approved Independent Auditor has not been appointed within 15 Business Days after the Approved Independent Auditor resigns or otherwise ceases to act as the Approved Independent Auditor pursuant to clause 8.17, 8.18, or 8.19; or
- (c) the ACCC has not received a Proposed Independent Auditor Notice pursuant to clause 8.2 and 8.4;

then clause 8.9 applies.

8.9 If clause 8.8 applies, the ACCC at its absolute discretion may:

- (a) identify and approve a person as the Approved Independent Auditor, including approving the draft terms of appointment and draft audit plan; and/or
- (b) direct Sigma to appoint a person who the ACCC has deemed is an Approved Independent Auditor.

Obligations and powers of the Approved Independent Auditor

8.10 Sigma must procure that any proposed terms of appointment for the Approved Independent Auditor include obligations on the Approved Independent Auditor to:

- (a) maintain his or her independence from Sigma, apart from appointment to the role of Approved Independent Auditor, including not forming any relationship of the types described in paragraph 2.2(c) of Schedule 2 to this Undertaking with Sigma for the period of his or her appointment;
- (b) conduct compliance auditing according to the Approved Audit Plan;
- (c) provide the following directly to the ACCC:
 - (i) a scheduled written Audit Report as described in clause 8.12;
 - (ii) an immediate report of any issues that arise in relation to the performance of his or her functions as Approved Independent Auditor or in relation to compliance with this Undertaking by any person named in this Undertaking;
 - (iii) access to the internal register referred to in 6.7(b) above; and
- (d) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.

- 8.11 Sigma must procure that any proposed terms of appointment for the Approved Independent Auditor provide the Approved Independent Auditor with the authority to:
- (a) access the facilities, sites or operations of the Sigma business as required by the Approved Independent Auditor;
 - (b) access any information or documents that the Approved Independent Auditor considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC (including the internal register referred to in 6.7(b) above); and
 - (c) engage any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor.

Compliance Audit

- 8.12 The Approved Independent Auditor must conduct an audit and prepare a detailed report (**Audit Report**) that includes:
- (a) the Approved Independent Auditor's procedures in conducting the audit, or any change to audit procedures and processes since the previous Audit Report;
 - (b) a full audit of Sigma's compliance with this Undertaking;
 - (c) identification of any areas of uncertainty or ambiguity in the Approved Independent Auditor's interpretation of any obligations contained in this Undertaking;
 - (d) all of the reasons for the conclusions reached in the Audit Report;
 - (e) any qualifications made by the Approved Independent Auditor in forming his or her views;
 - (f) any recommendations by the Approved Independent Auditor to improve:
 - (i) the Approved Audit Plan;
 - (ii) the integrity of the auditing process;
 - (iii) Sigma's processes or reporting systems in relation to compliance with this Undertaking; and
 - (iv) Sigma's compliance with this Undertaking;
 - (g) the implementation and outcome of any prior recommendations by the Approved Independent Auditor; and
 - (h) a copy of any determination(s) made in the period covered by the Audit Report.
- 8.13 The Approved Independent Auditor is to provide an Audit Report to the ACCC and Sigma at the following times:
- (a) within 20 Business Days after the Control Date, at which time the Audit Report is to include the results of the initial audit and any recommended

changes to the Approved Audit Plan, including the Approved Independent Auditor's proposed procedures and processes for conducting the audit (**Establishment Audit**);

- (b) every three (3) months from the date of the Establishment Audit until the ACCC confirms in writing to Sigma that it is satisfied that Sigma has fulfilled its obligations pursuant to this Undertaking.
- 8.14 Sigma must implement any recommendations made by the Approved Independent Auditor in Audit Reports and notify the ACCC of the implementation of the recommendations, within 10 Business Days after receiving the Audit Report or such other period as agreed in writing with the ACCC.
- 8.15 Sigma must comply with any direction of the ACCC in relation to matters arising from the Audit Report within 10 Business Days after being so directed (or such other period as agreed in writing with the ACCC).

Sigma's obligations in relation to the Approved Independent Auditor

8.16 Without limiting its obligations in this Undertaking, Sigma must:

- (a) comply with and enforce the Approved Terms of Appointment for the Approved Independent Auditor;
- (b) maintain and fund the Approved Independent Auditor to carry out his or her functions including:
 - (i) paying the costs of the Approved Independent Auditor in relation to this Undertaking, including the audit obligations under clause 8 and the adjudication of any Dispute under clause 4 of Schedule 3 to this Undertaking;
 - (ii) indemnifying the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor;
 - (iii) providing and paying for any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor; and
- (c) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor, including:
 - (i) directing Sigma personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 8;
 - (ii) providing access to the facilities, sites or operations of Sigma's business as required by the Approved Independent Auditor;
 - (iii) providing to the Approved Independent Auditor any information or documents that they consider necessary for carrying out his or her

functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC;

- (iv) not requesting any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC; and
- (v) not appointing the Approved Independent Auditor, or have any Agreements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

Resignation, revocation or termination of the Approved Independent Auditor

- 8.17 Sigma must immediately notify the ACCC in the event that the Approved Independent Auditor resigns or otherwise stops acting as the Approved Independent Auditor.
- 8.18 The ACCC may revoke an Approved Independent Auditor's status as the Approved Independent Auditor if the ACCC becomes aware that any information provided to it in connection with the appointment of the Approved Independent Auditor was incorrect, inaccurate or misleading.
- 8.19 The ACCC may approve, pursuant to clause 8.5, any proposal by, or alternatively may direct, Sigma to terminate the appointment of the Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking and/or the Approved Terms of Appointment or the Approved Independent Auditor fails to perform their role to an adequate standard.

9. Notification of key dates and ACCC requests for information

- 9.1 Sigma must notify the ACCC and the Approved Independent Auditor in writing of:
 - (a) the anticipated date of the Control Date, at least five (5) Business Days before that date; and
 - (b) the occurrence of the Control Date, within one Business Day of that date.
- 9.2 The ACCC may direct Sigma in respect of its compliance with this Undertaking to, and Sigma must:
 - (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (b) produce documents and materials to the ACCC within Sigma's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 9.3 Any direction made by the ACCC under clause 9.2 will be notified to Sigma, in accordance with clause 16.2.

- 9.4 In respect of Sigma's compliance with this Undertaking or an Approved Independent Auditor's compliance with its Approved Terms of Appointment, the ACCC may request the Approved Independent Auditor to:
- (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (b) produce documents and materials to the ACCC within the Approved Independent Auditor's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 9.5 Sigma will use its best endeavours to ensure that the Approved Independent Auditor complies with any request from the ACCC in accordance with clause 9.4.
- 9.6 Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 9 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.
- 9.7 The ACCC may in its discretion:
- (a) advise the Approved Independent Auditor of any request made by it under this clause 9; and/or
 - (b) provide copies to the Approved Independent Auditor of any information furnished, documents and material produced or information given to it under this clause 9.
- 9.8 Nothing in this clause 9 requires the provision of information or documents in respect of which Sigma has a claim of legal professional or other privilege.

10. Disclosure of this Undertaking

- 10.1 Sigma acknowledges that the ACCC may:
- (a) make this Undertaking publicly available;
 - (b) publish this Undertaking on its Public Section 87B Undertakings Register and Public Mergers Register; and
 - (c) from time to time publicly refer to this Undertaking.

11. Obligation to procure

- 11.1 Where the performance of an obligation under this Undertaking requires a Related Body Corporate of Sigma to take or refrain from taking some action, Sigma will procure that Related Body Corporate to take or refrain from taking that action.

12. Cessation of Ongoing Obligations

Revocation

- 12.1 The ACCC may, at any time, revoke its acceptance of this Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading. Such a revocation must be express and in writing.

Waiver

- 12.2 The ACCC may, at any time, waive any of the obligations contained in this Undertaking. Such a waiver must be express and in writing.

Extension

- 12.3 The ACCC may, at any time, extend the date by which any of the obligations in this Undertaking is to be satisfied. Such an extension must be express and in writing.

Survival

- 12.4 Unless and until this Undertaking is withdrawn in accordance with s 87B(2) of the Act, clauses 1,2,3,8,9,10,11,12,13,14, 15, 16, 17, and Schedules 1 and 3 survive completion of the obligations in clauses 4,5,6 and 7 as applicable.

13. No Derogation

- 13.1 This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by Sigma of any term of this Undertaking.
- 13.2 Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that Sigma does not fully implement and/or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.

14. Change of Control

- 14.1 In the event that a Change of Control is reasonably expected to occur, Sigma must:
- (a) notify the ACCC of this expectation as soon as practicable; and
 - (b) only implement a Change of Control to another person or entity if that person or entity has given a section 87B undertaking to the ACCC that requires it to comply with the same obligations as are imposed on Sigma pursuant to this Undertaking, or on terms that are otherwise acceptable to the ACCC, unless the ACCC has notified Sigma in writing that a section 87B undertaking under this clause is not required.

15. Costs

- 15.1 Sigma must pay all of its own costs incurred in relation to this Undertaking.

16. Notices

Giving Notices

- 16.1 Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:

Email address: mergers@accc.gov.au
Attention: Executive General Manager
Merger, Exemptions & Digital Division

With a copy sent to: mergersru@accc.gov.au
Attention: Director, Remedies Unit
Policy, Coordination & Remedies Branch
Merger, Exemptions & Digital Division

- 16.2 Any notice or communication to Sigma pursuant to this Undertaking must be sent to:

Name: Kara McGowan, General Counsel & Company Secretary

Address: Level 6, 2125 Dandenong Road, Clayton, VIC 3168

Email Address: Kara.McGowan@sigmahealthcare.com.au

With a copy sent to (if applicable):

Name: Gilbert + Tobin

Address: L35, Tower Two, International Towers Sydney, 200 Barangaroo Avenue, Barangaroo NSW 2000

Email Address: EAvery@gtlaw.com.au

Fax number: +61 2 9263 4111

Attention: Elizabeth Avery

- 16.3 If sent by post, notices are taken to be received three Business Days after posting (or seven Business Days after posting if sent to or from a place outside Australia).
- 16.4 If sent by email, notices are taken to be received at the time shown in the email as the time the email was sent.

Change of contact details

- 16.5 Sigma must notify the ACCC of a change to its contact details within three Business Days.
- 16.6 Any notice or communication will be sent to the most recently advised contact details and subject to clauses 16.3 and 16.4, will be taken to be received.

17. Defined terms and interpretation

Definitions in the Dictionary

17.1 A term or expression starting with a capital letter:

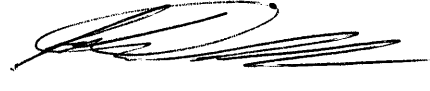
- (a) which is defined in the Dictionary in Part 1 of Schedule 1 (Dictionary), has the meaning given to it in the Dictionary; or
- (b) which is defined in the Corporations Act, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act.

Interpretation

17.2 Part 2 of Schedule 1 sets out rules of interpretation for this Undertaking.

Executed as an Undertaking

Executed by Sigma Healthcare Limited (ACN 088 417 403) pursuant to section 127(1) of the *Corporations Act 2001* by:

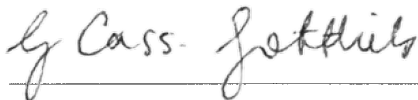
	
Signature of director	Signature of a director /company secretary (delete as appropriate)
	Kara McGowan
Name of director (print)	Name of director /company secretary (print)
Date 01/11/2024	Date 1/11/2024

Accepted by the Australian Competition and Consumer Commission pursuant to section 87B of the *Competition and Consumer Act 2010* (Cth) on:

6 November 2024

Date

and signed on behalf of the Commission:



Chair

6 November 2024

Date

Schedule 1 – Dictionary and interpretation

1. Dictionary

ACCC means the Australian Competition and Consumer Commission.

Act means the *Competition and Consumer Act 2010* (Cth).

Agreements means any contract, arrangement or understanding, including any contract, arrangement or understanding to renew, amend, vary or extend any contract, arrangement or understanding.

Approved Audit Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, by which the Approved Independent Auditor will audit and report upon compliance with this Undertaking.

Approved Independent Auditor means the person approved by the ACCC and appointed under clause 8 of this Undertaking.

Approved Sigma Personnel means Sigma personnel who the Independent Auditor has certified are not Ring-Fenced Personnel and who are appointed by the Independent Auditor to carry out the functions described in clause 6 of this Undertaking.

Approved Terms of Appointment means the terms of appointment for the Approved Independent Auditor, as approved by the ACCC in accordance with the terms of this Undertaking.

Associated Entity has the meaning given by section 50AAA of the Corporations Act.

Audit Report has the meaning given to it in clause 8.12 of this Undertaking.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in the Australian Capital Territory.

Buying Group Agreement means an agreement between Sigma and an entity, group or representative acting on behalf of, or for the benefit of, a collective of pharmacies, and includes head office level banner group and buying group agreements that provide for the terms on which Sigma will wholesale products to those pharmacies and which may also provide benefits or incentives to the entity, group or representative.

Buying Group Customer means:

- a Sigma customer with a PriceSave Wholesale Trading Terms Supply Agreement, and any related agreement or arrangement; or
- an entity, group or representative with a Buying Group Agreement.

Change of Control means:

- the assignment or other transfer of the legal or beneficial ownership of some or all of the share capital of Sigma to any other person or entity that may impact compliance with this Undertaking in its entirety; or
- the sale or transfer of any assets necessary, or which may be necessary, to enable Sigma to continue to comply with this Undertaking in its entirety.

Chemist Warehouse means CW Group Holdings Limited (ABN 83 635 851 839).

Chemist Warehouse Franchisee means a franchisee operating under the brand Chemist Warehouse or MyChemist.

Commencement Date means the date described in clause 3.1 of this Undertaking.

Confidential Information has the meaning given to it in clause 6.8 of this Undertaking.

Contributions means any monetary contributions or incentives paid to an Existing Franchisee, Existing Buying Group Customer or Existing Wholesale Customer by Sigma pursuant to a Franchise Agreement, Supply Agreement or other agreement including but not limited to any incentives, fee relief, rebates, cash payments or any other financial contributions made or entitled to under a Franchise Agreement, Supply Agreement or other agreement, but excludes Outstanding Monies.

Control Date means the date on which the Proposed Acquisition is completed.

Corporations Act means the *Corporations Act 2001* (Cth).

CSO Distributor has the meaning in clause 1.1 of Sigma's CSO Deed.

CSO Funding Pool Arrangements means the arrangements established by the Commonwealth on 1 July 2006 under which eligible entities receive payments for supplying pharmaceutical benefits scheme medicines to community pharmacies.

De-identified Data has the meaning given in clause 6.2(b).

Dispute means a dispute detailed in a Dispute Notice under Schedule 3, clause 2.2(a)

Dispute Applicant means the party raising a dispute under clause 5.9.

Dispute Notice means a notice of dispute lodged with Sigma in accordance with Schedule 3, clause 2.1.

Dispute Resolution Process means the process set out in Schedule 3.

Entities Connected has the meaning given by section 64B of the Corporations Act.

Establishment Audit has the meaning given to it in clause 8.13(a) of this Undertaking.

Existing Buying Group Customer means a Buying Group Customer who signed or entered into their PriceSave Wholesale Trading Terms Supply Agreement or Buying Group Agreement prior to 1 July 2024.

Existing Franchisee means a Franchisee with a Franchise Agreement who signed or entered into their Franchise Agreement prior to 1 July 2024.

Existing Wholesale Customer means a Wholesale Customer with a Supply Agreement who signed or entered into their Supply Agreement prior to 1 July 2024.

Exiting Customer has the meaning given in clause 6.1 of this Undertaking.

Franchise Agreement means any of the following agreements, including any variation, with Sigma (or any novated or transferred agreements to Sigma):

- an Amcal Franchise Agreement;
- a Discount Drug Stores Franchise Agreement;
- a Discount Drug Store Contribution Agreement;

- a Guardian Franchise Agreement;
- a PharmaSave Franchise Agreement;
- an Incentive Agreement;
- Best Practice Guidelines;
- Ethical Partnership Program Terms;
- Customer Loyalty Program Terms; and
- Amcal Private Label Trading Terms.

Franchisee means a franchise operating under a Sigma banner brand franchise arrangement but excludes Chemist Warehouse Franchisees.

Outstanding Monies means any:

- franchise fee, monthly operations fee, monthly catalogue fee or any other fees or charges for services provided to the Franchisee under the terms of a Franchise Agreement or any other agreement or arrangement prior to the Termination Date;
- any fees or charges accrued in relation to any products or services supplied to a Buying Group Customer or Wholesale Customer under a Supply Agreement or any other agreement or arrangement prior to the Termination Date;
- any interest on outstanding amounts (if applicable) calculated in accordance with the terms of the Franchise Agreement, Supply Agreement or any other agreement or arrangement prior to the Termination Date;
- any debt (plus interest, if applicable) payable to Sigma pursuant to any loan arrangement between Sigma and any Existing Franchisee, Existing Buying Group Customer or Existing Wholesale Customer who elects to terminate their Franchise Agreement or Supply Agreement within three (3) years of the Control Date in accordance with clause 5.1;
- any amount payable on termination of a Supply Agreement between Sigma and a third party entered into in conjunction with the sale of shares by Sigma to the third party where a wholesaling term commitment was provided as part of consideration for the sale.

Proposed Acquisition is defined in clause 2 of this Undertaking.

Proposed Independent Auditor means a person named in a Proposed Independent Auditor Notice.

Proposed Independent Auditor Notice has the meaning given to it in clause 8.2 of this Undertaking.

Public Mergers Register means the ACCC's public register of merger clearances, available at www.accc.gov.au.

Public Section 87B Undertakings Register means the ACCC's public register of section 87B undertakings, available at www.accc.gov.au.

Related Bodies Corporate has the meaning given to it by section 50 of the Corporations Act.

Related Entities has the meaning given to it by section 9 of the Corporations Act.

Related Parties has the meaning given to it by section 228 of the Corporations Act.

Ring-Fenced Personnel has the meaning given in clause 6.10 of this Undertaking.

Sigma means the entity referred to in clause 1.1 of this Undertaking.

Sigma Information Compliance Officer means the person referred to in clause 6.7 of this Undertaking.

Sigma's CSO Deed means the Deed of Agreement between Sigma and the Commonwealth of Australia dated 29 March 2019, as amended or replaced from time to time, in relation to the CSO Funding Pool Arrangements.

Subsidiary has the meaning given by section 9 of the Corporations Act.

Supply Agreement means any agreement with a Wholesale Customer for wholesale supply of products, excluding Sigma's pro forma Sigma Group Standard Terms and Conditions of Supply. For the avoidance of doubt, Supply Agreement includes PriceSave Wholesale Trading Terms Agreements, Buying Group Agreement, Amcal Sigma Connect Trading Terms, Discount Drug Stores Sigma Connect Trading Terms, and Pharmasave Sigma Connect Trading Terms and any negotiated wholesale supply agreement with a Wholesale Customer.

Termination Date means the date on which termination by an Existing Franchisee, Existing Buying Group Customer or Existing Wholesale Customer of its Franchise Agreement or Supply Agreement becomes effective.

Undertaking is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the Act.

Wholesale Customer means a wholesale pharmacy customer or group with a current Sigma trading account but excludes Chemist Warehouse Franchisees.

2. Interpretation

2.1 In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:

- (a) a reference to this Undertaking includes all of the provisions of this document including its schedules;
- (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;
- (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
- (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
- (e) a reference in this Undertaking to any company includes its Related Bodies Corporate;
- (f) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
- (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;

- (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
- (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
- (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular.
- (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;
- (l) a construction that would promote the purpose - or object - underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
- (m) material not forming part of this Undertaking may be considered to:
 - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the competition concerns intended to be addressed by the Undertaking and the clause in question; or
 - (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
- (n) in determining whether consideration should be given to any material in accordance with paragraph (m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to the:
 - (i) effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
 - (ii) need to ensure that the result of the Undertaking is to completely address any ACCC competition concerns;
- (o) the ACCC may authorise the ACCC Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;
- (p) in performing its obligations under this Undertaking, Sigma will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking;
- (q) a reference to:
 - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;

- (ii) a party includes its successors and permitted assigns; and
- (iii) a monetary amount is in Australian dollars.

Schedule 2 – Proposed Independent Auditor Appointment Form

Please note that it is an offence under s137.1 of the *Criminal Code Act 1995* (Cth) to give information to a Commonwealth entity knowing that the information is false or misleading or omits any matter or thing without which the information is misleading.

1. Method of Delivery to the ACCC

The completed form with requested documents attached may be provided to the ACCC using the following method:

Email

Subject line: Proposed Independent Auditor Notice – Undertaking to the ACCC given under section 87B of the Competition and Consumer Act 2010 (Cth) by Sigma Healthcare Limited (ACN 088 417 403)

Address: mergers@accc.gov.au

Attention: Executive General Manager – Mergers, Exemptions & Digital Division

With an email copy sent to:

Address: mergersru@accc.gov.au

Attention: Director, Remedies Unit - Policy, Coordination & Remedies Branch,
Mergers, Exemptions & Digital Division

2. Information Required

The ACCC requires the following information in order to assess a proposed Independent Auditor.

2.1 Proposed Independent Auditor details:

- (a) the name of the Proposed Independent Auditor; and
- (b) the name of the Proposed Independent Auditor's employer and contact details including:
 - (i) Address;
 - (ii) Contact name;
 - (iii) Telephone number;
 - (iv) Other contact details.

2.2 A submission containing the following information:

- (a) details of the Proposed Independent Auditor's qualifications and experience relevant to his or her proposed role pursuant to the Undertaking;
- (b) the names of the owner(s) and the director(s) of the Proposed Independent Auditor's employer;

- (c) details of any of the following types of relationships between Sigma and the Proposed Independent Auditor or the Proposed Independent Auditor's employer or confirmation that no such relationship exists whether within Australia or outside of Australia:
 - (i) Sigma and the Proposed Independent Auditor's employer are Associated Entities;
 - (ii) Sigma is an Entity Connected with the Proposed Independent Auditor's employer;
 - (iii) The Proposed Independent Auditor's employer is an Entity Connected with Sigma;
 - (iv) Sigma and the Proposed Independent Auditor's employer are Related Entities;
 - (v) Sigma and the Proposed Independent Auditor's employer are Related Parties;
 - (vi) any Related Party, Related Entity or Entity Connected with Sigma is a Related Party, Related Entity or Entity Connected with the Proposed Independent Auditor;
 - (vii) Sigma and the Proposed Independent Auditor or the Proposed Independent Auditor's employer have a contractual relationship or had one within the past three years, other than those attached to this form;
 - (viii) the Proposed Independent Auditor's employer is a supplier of Sigma or has been in the past three years;
 - (ix) Sigma is a supplier of the Proposed Independent Auditor's employer or has been in the past three years; and
 - (x) any other relationship between Sigma and the Proposed Independent Auditor or the Proposed Independent Auditor's employer that allows one to affect the business decisions of the other;
 - (d) details of any existing or past contractual relationships between the Proposed Independent Auditor or the Proposed Independent Auditor's employer and the ACCC within the past three years.
- 2.3 A document outlining the terms of appointment for the Proposed Independent Auditor. This should identify the basis on which fees will be paid, including disclosure of any proposed performance-based fees.
- 2.4 A finalised draft audit plan for the commitments in this Undertaking, in an editable format, drafted by the Proposed Independent Auditor and outlining (to the extent possible) the Proposed Independent Auditor's plans regarding the Establishment Audit and the Audit Report.

Schedule 3 – Dispute Resolution Process

This Dispute Resolution Process is intended to:

- a) provide transparency on the dispute resolution process; and
- b) ensure the Independent Auditor oversees the process to resolve disputes brought by a Dispute Applicant,

with respect to compliance with the terms of clause 5 of the Undertaking.

1. Objective

- 1.1 Sigma is committed to resolving any potential disputes proactively and constructively and in accordance with the terms of this Undertaking.
- 1.2 Sigma will use this Dispute Resolution Process to resolve any potential disputes arising with respect to clause 5 of the Undertaking.

2. Raising a dispute

- 2.1 A Dispute Applicant who wishes to raise a dispute with Sigma with respect to clause 5 of the Undertaking (**Dispute**) must do so within six (6) months of providing notice of termination of their Franchise Agreement, Supply Agreement or Buying Group Agreement to Sigma by providing written notice to Sigma (**Dispute Notice**).
- 2.2 The Dispute Notice must include details of:
 - (a) the nature of the Dispute;
 - (b) the outcome sought by the Dispute Applicant;
 - (c) the action(s) on the part of Sigma which the Dispute Applicant believes will resolve the dispute.
- 2.3 By lodging a Dispute Notice, the Dispute Applicant agrees to comply with this Dispute Resolution Process.

3. Negotiation

- 3.1 Within 7 Business Days of the Dispute Applicant providing Sigma with a Dispute Notice, representatives of each party must meet and undertake genuine and good faith negotiations with a view to resolving the dispute expeditiously by joint discussion.
- 3.2 If the Dispute is not resolved in accordance with clause 3.1 of this Schedule 3 within 21 Business Days of the Dispute Applicant providing a Dispute Notice to Sigma then the dispute will be referred to adjudication by the Independent Auditor in accordance with clause 4.

4. Adjudication

- 4.1 A dispute referred to adjudication by the Independent Auditor under cl 3.2 of this Schedule 3 will be conducted in accordance with the following provisions:

- (a) The adjudication will be conducted in private within 10 Business Days of the appointment of the Independent Auditor;
 - (b) The Independent Auditor must act as speedily as a proper consideration of the Dispute allows having regard to the need to carefully and quickly enquire into and resolve the Dispute;
 - (c) The Independent Auditor will present its determination of the Dispute in draft form to Sigma and the Dispute Applicant within 10 Business Days and allow them 5 Business Days to comment before making a final determination;
 - (d) The Independent Auditor will hand down a final determination in writing which includes its reasons for making the determination and findings within 10 Business Days;
 - (e) any determination by the Independent Auditor will be confidential.
- 4.2 Sigma and the Dispute Applicant must provide the Independent Auditor with all relevant information required by the Independent Auditor to resolve the Dispute within the timeframes prescribed by this Dispute Resolution Process. Such information may include (but is not limited to) information needed for the calculation of Outstanding Monies and Contributions, communications with the Dispute Applicant, and all relevant contracts and agreements between Sigma and the Dispute Applicant.
- 4.3 For the avoidance of doubt matters that are not with respect to compliance with the terms of clause 5 of this Undertaking are not within the scope of this Dispute Resolution Process.
- 4.4 The Independent Auditor may at any time terminate an adjudication (without making a determination) and the subject matter of the Dispute Notice shall be regarded as resolved, if he or she thinks that:
- (a) the notification of the Dispute is vexatious;
 - (b) the subject matter of the Dispute is trivial, misconceived or lacking in substance; or
 - (c) the Dispute Applicant has not engaged in negotiations in good faith.
- 4.5 In deciding a Dispute, the Independent Auditor will have regard to the objectives of the Undertaking.
- 4.6 In deciding a Dispute, the Independent Auditor must not, without the consent of Sigma and the Dispute Applicant:
- (a) make a determination which relates to matters which were not specified in the Dispute Notice; or
 - (b) allow any other party to join or intervene in the adjudication process.
- 4.7 The Independent Auditor may make any determination or direction in relation to the Dispute that it considers appropriate.
- 4.8 The Independent Auditor must include a copy of their determination with the next Audit Report in accordance with Clause 8.12 of this Undertaking.